

Grid Wire — 2026-06-17

Differentiated reads, not a news digest. Each item is a thesis: the consensus view, the cross-silo synthesis that contradicts or sharpens it, and the trade or tell to watch. Sourced facts are demoted to evidence beneath each call.

1. The scarce asset in Permian gas isn't the molecule or the acreage — it's a 2027–28 turbine slot next to load

Consensus: negative Waha is a takeaway problem that 2H26–2027 pipelines fix; data centers need power; gas is the answer.

The read: three sourced facts only make sense together. (a) The Waha forward curve prices *negative* gas into 2028 — Summer-2027 strip –\$1.98, Winter '27-'28 –\$2.11 — i.e. the market does **not** believe the pipeline buildout resolves the glut. (b) GE Vernova has **~10 GW of turbine capacity left across 2029–2030 combined**, with new bids pricing 10–20 pts higher \$/kW and holding; Siemens sold out through FY2028. (c) Diamondback said it's "on the cusp" of monetizing gas into a power/data-center project worked for ~a year. Put together: stranded, sub-zero associated gas is abundant and worthless at the wellhead; load is desperate; the only thing standing between the two is a *machine you cannot buy until 2029*. The binding constraint is the turbine, and whoever already holds 2027–28 slots controls the spread between –\$2 gas and \$80+/MWh power.

Trade / tell: the highest-return Permian gas position is not the molecule — it's interconnection-adjacent land plus a turbine reservation. Watch which E&Ps quietly disclose Slot Reservation Agreements or behind-the-meter gen JVs (FANG flagged one); that disclosure, not the drillbit, is the alpha.

Evidence: Aegis Hedging (forward Waha), May 2026; GE Vernova Q1 transcript / Utility Dive, Apr 2026; Diamondback Q1 transcript (Insider Monkey), May 2026.

2. Fuel cells, not reactors, fill the 2026–2029 power gap — and institutional capital just said so

Consensus: the "nuclear renaissance" powers the AI buildout.

The read: every nuclear path is dated past the gap. Oklo's ~15 GW book and Kairos-Google-TVA don't deliver until ~2030; the restarts are stuck on *paperwork*, not hardware (Palisades literally "cannot find the CMTR data" for three welds; Crane earns no full PJM capacity credit until 2027). Turbines are sold out to 2028–29. The only thing that ships into the 2026–2029 hole at scale is on-site generation — and the **Bloom/Oracle 2.8 GW SOFC master agreement (1.2 GW already underway) plus Brookfield's up-to-\$5B financing commitment** just validated solid-oxide fuel cells as a financeable asset class. That is the quiet winner the nuclear headlines are crowding out.

Trade / tell: the bridge-power equity story migrates to SOFC and reciprocating engines for the next 36 months. Watch for the second and third hyperscaler SOFC master agreement and the first SOFC ABS/project-finance print — that's when the market reprices it from "science project" to infrastructure.

Evidence: Oklo/Kairos (Wikipedia); Palisades / Industrial Info, Feb 2026; Bloom-Oracle IR + DCD/Brookfield, Apr 2026.

3. The Meta/Blue Owl 16-year residual-value guarantee — not the \$27B — is the structural risk nobody's pricing

Consensus: Hyperion is a landmark \$29.5B financing; the template for the sector.

The read: the headline size is noise. The signal is *how* an A+ rating attached to a vehicle with a thin ~8–10% equity cushion: it required a **16-year Meta residual-value guarantee** absorbing tech-obsolescence risk. So the hyperscaler moved the asset off balance sheet but *kept the economic risk* via a contingent guarantee — synthetic leverage that the rating agencies blessed. GPUs depreciate over 3–5 years; the RVG runs 16. As the whole field copies the "template" (S&P/MS's word), the sector accumulates a stack of off-balance-sheet, long-dated obsolescence guarantees that no consolidated balance sheet shows. If GPU useful life compresses, these RVGs are the contingent liability that bites all at once.

Trade / tell: read the *guarantee structure*, not the deal size, in the next hyperscaler SPV. The tell is whether RVG tenor keeps stretching while equity cushions thin — that's the sector quietly leveraging up where credit analysts aren't looking.

Evidence: Global Data Center Hub (Hyperion structure), 2026.

4. Two unrelated regulatory footnotes hand a specific, dull supply chain the win

Consensus: OBBBA/FEOC and the tariffs are a generalized headwind for clean energy.

The read: cross two provisions nobody reads together. (a) The FEOC material-assistance calc **excludes iron and steel** — a carve-out for steel-heavy balance-of-system. (b) Section 232 **caps transformers/switchgear at 15%** through 2027 with a 15%-metal-content de minimis. Net: domestic steel-intensive BOS (racking, foundations, transmission structures) is structurally advantaged, while the genuinely binding scarcity across every section of this wire — solar, storage, gas, nuclear, data centers — is the same unglamorous box: the transformer. The edge isn't in modules, cells, or even turbines; it's in the BOS/transformer supply chain that the policy regime just quietly protected.

Trade / tell: transformer and switchgear lead times are the real load-growth governor. Watch domestic transformer order books and BOS margins — that's where the policy asymmetry cashes out, not in the panel.

Evidence: Nixon Peabody (FEOC MACR), Mar 2026; Green Worldwide (§232), 2026.

5. The ERCOT 2028–29 trade is sitting in plain sight — an IPP just told you which side it's on

Consensus: ERCOT's 233 GW interconnection queue is mostly phantom load; even ERCOT's own VP says "we don't expect all of those will materialize."

The read: that skepticism is *in the forward curve* — Constellation says the ERCOT 2028–29 strip "appears like something that's only expecting 10,000–15,000 MW" of load growth. And Constellation, with a real book, is positioned the other way: calling ERCOT "undervalued" for 2028–29 while staying "well hedged" near term. So you have the market believing ERCOT's official phantom-load skepticism, and one of the most sophisticated IPPs publicly fading it. That gap — curve vs. realized 2028 load — is the single cleanest ERCOT-specific position, and SB6 (which turns large loads into mandatory curtailable resources) is the mechanism that decides who's right by making "firm" load the scarce, premium product.

Trade / tell: the spread between the ERCOT 2028–29 forward and realized interconnections is the position. The leading indicator is SB6 curtailment-docket adoption and how much queue converts to *firm* (vs. interruptible) — firm load is what actually moves the curve.

Evidence: Constellation Q1 transcript (Investing.com), May 2026; Utility Dive (ERCOT queue), 2026; Perkins Coie (SB6), Mar 2026.

6. Brownfield gas is a call option on the turbine shortage — and it's still trading at intrinsic value

Consensus: brownfield PJM gas at \$743–1,327/kW is a cheap value play vs. \$2,000+/kW greenfield.

The read: the discount exists **because** you can't get a turbine to build greenfield until 2029–30. So an existing, interconnected gas plant isn't just cheap capacity — it's a call option on the turbine shortage, and the option is being sold near intrinsic value. As lead times extend and \$/kW on new bids keeps rising (GE Vernova +10–20 pts and climbing), brownfield should converge **up** toward replacement cost. The Talen/ECP (\$1,327/kW, ~6.6x 2027E EBITDA), Vistra/Lotus (\$743/kW), and NRG/LS Power (\$12B) rollups are buying this option; the sellers are handing over optionality for a multiple.

Trade / tell: the recognition signal is the next PJM/ERCOT brownfield gas deal printing above ~\$1,500/kW. That's the moment the arb is acknowledged and the discount window closes.

Evidence: Talen IR, 2026; NGI (Vistra/Lotus), 2026.

7. The death of green hydrogen quietly created a coherent Permian monetization stack

Consensus: OBBBA gutting 45V is bad for hydrogen, full stop.

The read: 45V (green H2) is dead; **45Q (carbon capture) survived at \$85/ton**, which doesn't kill hydrogen — it relocates it to where there's CO2 storage and cheap gas: the Gulf Coast and Permian. Blue hydrogen/ammonia now **beats** green on policy, not just cost. Tie it back to item 1: negative-Waha gas + 45Q sequestration + blue-ammonia export is a single coherent thesis that turns the stranded-gas problem into a monetization path. CF Industries' ~\$100M/yr 45Q free-cash stream off Donaldsonville is the live comp that proves the cash flow is real, not a tax abstraction.

Trade / tell: watch Gulf Coast/Permian blue-ammonia FIDs and 45Q transfer-credit pricing. The connective insight — stranded gas finds a home in blue molecules — is the differentiated way to be long Permian gas without being long the Waha price.

Evidence: ING Think (45V/blue H2), 2026; IRS Notice 2026-01 + Beancount.io (45Q), 2026.

8. The "datacenter-in-space" filing is a real tell — about how unsolvable terrestrial siting looks to the people closest to demand

Consensus: orbital data centers are sci-fi; ignore.

The read: the point isn't feasibility. It's that SpaceX filed for **100 GW of orbital compute (~20% of US electricity)** three days before the xAI merger closed, and Meta reserved up to 1 GW of space-based solar with first transmission not until 2028. When the parties closest to compute demand are spending real filing/reservation capital on exotic off-planet power, that is a revealed preference about how constrained they believe **terrestrial** power-adjacent land is. For a land/resource investor that's the signal: the scarce, bid-up asset is the terrestrial parcel with fiber + water + gas + interconnection, and the smart money is hedging into orbit precisely because the ground solution is so tight.

Trade / tell: treat orbital-compute and space-solar announcements as a sentiment gauge on terrestrial siting scarcity, inversely. Every serious orbital filing is a vote that prime power-adjacent land gets **more** valuable, not less.

Evidence: SpaceNews (SpaceX FCC filing), Jan 2026; TechCrunch (Meta/Overview), Apr 2026.

What would change these calls

- **Item 1/6 invalidated** if turbine OEMs add 2027–28 capacity (new plants, refurb lines) faster than orders
— *the slot scarcity is the load-bearing assumption.*
 - **Item 2** weakens if a restart actually energizes on schedule or an SMR pulls a delivery date into 2028.
 - **Item 3** is benign as long as GPU useful life holds at 5+ years; it only bites on obsolescence acceleration.
 - **Item 5** resolves against Constellation if SB6 curtailment rules let ERCOT treat most queue load as interruptible
— *capping the firm-load premium.*
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Evidence ledger (the underlying footnotes)

The sourced facts these calls are built on. Useful as comps even where the thesis above is the actual product.

- **Permian ops:** Permian Resources shutting high-GOR wells, realized gas \$1.33/Mcf, D&C \$685/ft, firm transport 400→700+ MMcf/d (Motley Fool, 2026-06-01). Diamondback drilling \$300/ft, surfactant uplift "0 to 400–500 bbl/d," moving Waha to physical hedges (Insider Monkey, 2026-05-05). APA curtailed ~88 MMcf/d + 6,800 bbl/d NGLs, US gas –\$0.35/Mcf (StockTitan, 2026). EOG cutting Dorado dry gas ~1 Bcf/d→800 MMcf/d, redeploying to oil (Motley Fool, 2026-05-06).
- **Waha/egress:** 89 straight negative sessions; Hugh Brinson \$2.7B/2.2 Bcf/d; Blackcomb 2.5 Bcf/d Q3 (WhiteWater 50.6/MPLX 30.4/Enbridge 19) (NGI; OGJ, 2026).
- **M&A comps:** WES/Brazos \$1.6B ~8x 2027E EBITDA; Viper/Sitio \$4.1B / ~25,300 royalty acres; SM/Galvan Ranch \$950M / 60k acres + 260 wells; Talen/ECP \$1,327/kW ~6.6x; Vistra/Lotus \$743/kW; NextEra/Dominion \$67B (0.8138 ratio); NRG/LS Power \$12B (various IR / Mercer / NGI, 2026).
- **Data centers:** Microsoft GPUs idle for lack of power, ~\$80B Azure backlog (DCD, Apr 2026). Meta capex \$125–145B (RBN). Bloom/Oracle 2.8 GW SOFC + Brookfield \$5B (Bloom IR/DCD). Stargate Abilene 600 MW expansion scrapped, Meta in talks to absorb (Tom's Hardware, 2026).
- **Turbines:** GE Vernova 100 GW backlog, ~10 GW left 2029–30, bids +10–20 pts \$/kW; Siemens sold out to FY2028, €154B backlog (Investing.com; Utility Dive; DailyPolitical, 2026).
- **Nuclear:** Oklo Aurora powerhouse PDSA Jun 11; TerraPower Kemmerer NRC permit Mar 4; Palisades missing CMTR weld data; Talen/AWS FOM 1,920 MW / ~\$18B / 17-yr (NucNet; Industrial Info; Investing.com, 2026).
- **Policy/tax:** Notice 2025-42 vacated Jun 6 (5% safe harbor restored); July 4, 2026 begin-construction / Dec 31, 2027 PIS cliff; FEOC MACR 40/45/60%, iron & steel excluded; \$232 grid equipment capped 15% to 2027; FERC PJM co-location BTM materiality threshold (McGuireWoods; Nixon Peabody; Green Worldwide; Mintz).
- **Geopolitics:** Hormuz reopened but mine-clearing ~6 mo, war-risk premiums 2.5–5% of hull; OPEC+ 4th hike +188 kb/d Jul; China critical-minerals controls suspended only to Nov 10, 2026 (Al Jazeera; The National; Pillsbury, 2026).
- **Capital markets:** Nvidia \$25B IG, book ~\$85B; AI borrowers ~\$300B YTD; Meta/Blue Owl \$29.5B (80/20, A+ +225 bp, 16-yr RVG); data-center ABS –60 bp, CloudHQ AAA +125 bp; Brookfield BGTF II \$20B; KKR infra V \$12.5B (TechTimes; Global Data Center Hub; Green Street; Infrastructure Investor, 2026).
- **Renewables/cleantech:** transfer market ~\$42B (+50% YoY), Sunrun "\$25M per penny"; Equinor \$955M offshore impairment; ERCOT battery M&A +60% YoY; Fervo Cape Station \$421M non-recourse incl. \$61M ITC bridge (Insider Monkey; Crux; Barchart; FTI; POWER, 2026).
- **Space:** Starbase annexing 7,133 acres + 715-acre refuge swap; SpaceX 100 GW orbital-compute FCC filing; Meta/Overview 1 GW space-solar; Interlune He-3 offtake up to \$300M (RGV Business Journal; SpaceNews; TechCrunch, 2026).

Confidence notes

Items 1–8 are analytical synthesis — my reads across sourced facts, not reported claims. The underlying facts carry inline attributions. A few figures rest on search-index extraction vs. full-text fetch (publisher 403s): Nvidia \$25B/\$85B, data-center ABS spreads, the Meta/Blue Owl +225 bp / 16-yr RVG (cross-consistent; worth an offering-memo check before quoting verbatim), and the SpaceX refuge swap (cross-confirmed via FWS).